

25LBCV03441 25LBCV03441

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Case Number: 25LBCV03441 Hearing Date: September 24, 2026 Dept: S28

BACKGROUND

On December 18, 2025, Plaintiff Vien

Ho ("Plaintiff"), in propria persona, commenced this action against HSBC Bank USA, National Association ("HSBC"), Affinia Default Services, LLC ("Affinia"), Nationstar Mortgage LLC dba Mr. Cooper ("Nationstar"), Mortgage Electronic Registration Systems, Inc. ("MERS"), ServiceLink Agency Sales and Posting, LLC[1] ("ServiceLink"), and Does 1 through 20 (collectively, "Defendants"), asserting causes of action for: (1) wrongful foreclosure; (2) failure to provide statutory notice; (3) cancellation of trustee's deed upon sale; (4) quiet title; (5) slander of title; (6) fraud/constructive fraud; (7) violation of Civil Code section 2924; (8) declaratory relief; (9) unjust enrichment/constructive trust; (10) void foreclosure; (11) void credit bid; (12) lack of recorded assignment; (13) rescission of foreclosure sale; (14) wrongful eviction; (15) accounting; (16) negligence per se; and (17) judicial estoppel.

On March 24, 2026, Defendant ServiceLink

filed a demurrer to the Complaint. On

April 28, 2026, the Court overruled the demurrer on the basis of res judicata, but sustained the demurrer to the first, second, fourth, fifth, eighth, and thirteenth causes of action with 30 days leave to amend.

On May 27, 2026, Plaintiff filed the

operative First Amended Complaint ("FAC").

On July 24, 2026, ServiceLink filed

the instant Demurrer to the FAC ("Demurrer").

Plaintiff filed an Opposition on September 14, 2026, and Defendant filed a Reply on September 17, 2026.

DISCUSSION

Applicable
Law

A

demurrer is a pleading that may be used to test the legal sufficiency of the factual allegations in the complaint.

(Code Civ. Proc., §430.10.) There are two types of demurrers: general demurrers and special demurrers. (See *McKenney v. Purepac Pharmaceutical Co.* (2008) 167 Cal.App.4th 72, 77.)

General

demurrers can be used to attack pleadings for failure to state facts sufficient to constitute a cause of action or for lack of subject matter jurisdiction. (Code Civ. Proc., §430.10, subd. (e); *McKenney*, 167 Cal.App.4th at 77.) Such demurrers can be used only to challenge defects that appear on the face of the pleading or from matters outside the pleading that are judicially noticeable; evidence or extrinsic matters are not considered. (Code Civ. Proc., §§430.30, 430.70; *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) For the purpose of testing the sufficiency of the cause of action, the Court admits “all material facts properly pleaded” and “matters which may be judicially noticed,” but does not consider contentions, deductions, or conclusions of fact or law. (*Blank*, 39 Cal.3d at 318.) It gives these facts “a reasonable interpretation, reading it as a whole and its parts in their context.” (*Ibid.*) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (*Semole v. Sansoucie* (1972) 28 Cal. App. 3d 714, 721.) The face of the complaint includes exhibits attached to the complaint. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.) “If facts appearing in the exhibits contradict those alleged, the facts in the exhibits take precedence.” (*Holland v. Morse Diesel Internat., Inc.* (2001) 86 Cal.App.4th 1443, 1447.)

Leave

to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy, (1976) 18 Cal.3d 335, 349.) The burden is on the Plaintiff to show the Court that a pleading can be amended successfully. (Lewis v. Youtube, LLC, (2015) 244 Cal.App.4th 118, 226.)

Request for Judicial
Notice

Defendant asks the Court to take
judicial notice of the following in support of its Demurrer.

1.

Deed of
Trust recorded July 3, 2007, as Document No. 20071586415 in Official Records,
Recorder's Office, Los Angeles County, California.

2.

Notice of
Default recorded October 31, 2019, as Document No. 20191174126 in Official
Records, Recorder's Office, Los Angeles County, California.

3.

Corporation
Assignment of Deed of Trust recorded November 24, 2010, as Document No.
2010710501 in Official Records, Recorder's Office, Los Angeles County,
California.

4.

Grant Deed
recorded October 21, 2021, as Document No. 20211587558 in Official Records,
Recorder's Office, Los Angeles County, California.

5.

Notice of
Trustee's Sale recorded September 28, 2021, as Document No. 20211471386 in
Official Records, Recorder's Office, Los Angeles County, California.

6.

Trustee's

Deed Upon Sale recorded December 7, 2022, as Document No. 20221144711 in Official Records, Recorder's Office, Los Angeles County, California.

7.

Warranty

Deed recorded December 27, 2022, as Document No. 20221199975 in Official Records, Recorder's Office, Los Angeles County, California.

8.

April 28,

2026 Minute Order issued in this action regarding Moving Party's Demurrer to Plaintiff's initial complaint.

The Court GRANTS these requests, as to their existence and recording, as these are documents from the Official Records of the County of Los Angeles, State of California, and from this Court. Evidence Code section 452, subdivision (h) allows the Court to take judicial notice of "[f]acts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy." However, the Court does not accept the truth or legal effect of their contents, as that is a disputed factual issue that cannot be resolved on demurrer.

Analysis

A.

Meet and Confer

Code

of Civil Procedure section 430.41 requires that "[b]efore filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer." (Code Civ. Proc., §430.41, subd. (a).) The parties are to meet and confer at least five days before the date the responsive pleading is due. (Code Civ. Proc., §430.41, subd. (a)(2).) Thereafter, the demurring party shall file and serve a declaration stating either (1) the means by which the parties met and conferred and that the parties did not reach an agreement to resolve the issues raised in the demurrer or (2) the party that filed the

pleading failed to respond to the meet and confer request or otherwise failed to meet and confer in good faith. (Code Civ. Proc., §430.41, subd. (a)(3).)

However, “[a] determination by the court that the meet and confer process was insufficient shall not be grounds to overrule or sustain a demurrer.” (Code Civ. Proc., §430.41, subd. (a)(4).

Here,

Defendant’s counsel explains that between June 23 and July 26, 2026, counsel sent two emails and then called Plaintiff to schedule a meet-and-confer regarding the demurrer. (Shaheen Decl., ¶2, Ex. A.) Plaintiff did not respond to the emails and did not answer or return the phone call. Although the parties did not successfully meet and confer prior to the filing of the Demurrer, the Court acknowledges Defendant’s counsel’s efforts to meet and confer and proceeds with adjudication of the merits of the Demurrer.

B. Demurrer

to the First Cause of Action for Wrongful Foreclosure

ServiceLink

demurs to the first cause of action on the grounds that Plaintiff fails to state facts on which relief may be granted against moving party.

The

elements of wrongful foreclosure under common law are: (1) the trustee of mortgagee caused illegal, fraudulent, or willfully oppressive sale of real property pursuant to power of sale in mortgage or trust deed; (2) the trustor or mortgagor or other party attacking the sale was prejudiced or harmed; and (3) the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from that. (Miles v.

Deutsche Bank National Trust Co. (2015) 236 Cal.App.4th 394, 408.) The tender requirement applies to “any cause of action for irregularity in the sale procedure.” (Abdallah v. United Sav. Bank (1996) 43 Cal.App.4th 1101, 1109.)

Here,

Defendant argues that Plaintiff did not meet the tender requirement and, absent tender, the claim fails as a matter of law. (Demurrer, pp. 3-4.) In its ruling on Defendant’s demurrer to the original complaint, the Court found that Plaintiff makes no mention of tender

in the allegations for wrongful foreclosure and distinguished Plaintiff's reference to *Dimock v. Emerald Properties* (2000) 81 Cal.App.4th 868 as pertaining to an unlawful detainer action, not wrongful foreclosure. Defendant argues that Plaintiff has not cured this deficiency and thus, the instant Demurrer to the first cause of action should be sustained without leave to amend.

In opposition, Plaintiff argues that the FAC alleges that ServiceLink participated in conducting, facilitating, and certifying the foreclosure auction and acted as an agent and participant in effectuating the challenged foreclosure sale. (FAC ¶40.) The FAC also specifically alleges the following grounds on which tender is excused: (1) no valid substitution authorized Affinia to conduct the foreclosure; (2) the beneficiary identified in the Trustee's Deed materially differs from the beneficiary identified in the recorded assignment; (3) no recorded assignment to the foreclosing entity has been identified; and (4) mandatory statutory notice was not provided to HREBT, the alleged record owner. (FAC ¶¶41-43.) Thus, the FAC alleges that the sale was void for lack of lawful foreclosure authority, rather than merely voidable because of an ordinary procedural irregularity.

The Court finds that the FAC sufficiently alleges multiple facts that excuse the tender requirement. Tender, for purposes of a wrongful foreclosure claim, has been excused when "(1) the underlying debt is void, (2) the foreclosure sale or trustee's deed is void on its face, (3) a counterclaim offsets the amount due, (4) specific circumstances make it inequitable to enforce the debt against the party challenging the sale, or (5) the foreclosure sale has not yet occurred." (*Chavez v. Indymac Mortgage Services* (2013) 219 Cal.App.4th 1052, 1062.) Specifically, the FAC alleges: no valid substitution of trustee authorizing Affinia to foreclose (FAC ¶41); inconsistent beneficiary trust designations and lack of any recorded assignment to the foreclosing entity (FAC ¶42); mandatory statutory notice was not provided to the record owner HREBT (FAC ¶¶34-35, 41); and foreclosure was void for lack of foreclosure authority, not merely voidable (FAC ¶¶32-33, 39, 43). These allegations, which must be accepted as true at the demurrer stage, demonstrate recognized exceptions to the tender rule under California law. Thus, the FAC has cured the deficiency noted in the Court's prior order by presenting allegations that the tender rule is excused in this case.

The Court also rejects Defendant's contention presented in the Reply that it holds no relevance to the authority-based defects alleged in the FAC. Although Plaintiff does not allege that Defendant was the trustee, mortgagee, or beneficiary, the FAC pleads that Defendant materially participated in effectuating the foreclosure sale, including acting as foreclosure-sale agents, conducting auction activities, and issuing or facilitating the Certificate of Sale that declared the Property "Reverted to the Lender." The FAC further alleges that Defendant published and facilitated foreclosure-sale documentation integral to the challenged transfer of title. The Court does not have to adjudicate the merits of Plaintiff's claims at this stage. These allegations sufficiently connect Defendant to the foreclosure process underlying Plaintiff's claims and contradict Defendant's assertion that all authority-based defects are directed solely at other parties.

For these reasons, the Court finds that the FAC contains sufficient allegations for a wrongful foreclosure cause of action. The Demurrer to the first cause of action is OVERRULED.

C. Demurrer
to the Fifth Cause of Action for Slander of Title

ServiceLink demurs to the fifth cause of action on the grounds that Plaintiff fails to state facts on which relief may be granted against moving party and the cause of action is time-barred by the statute of limitations.

"The elements of a cause of action for slander of title are (1) a publication, which is (2) without privilege or justification, (3) false, and (4) causes pecuniary loss." (La Jolla Group II v. Bruce (2012) 211 Cal.App.4th 461, 472.)

Defendant argues that Plaintiff fails to plead the "false publication" and "pecuniary loss" elements against the moving party. The FAC alleges that Defendant facilitated publication of the "Certificate of Sale at Public Auction dated October 21, 2022," (Exhibit 9 to

FAC) but fails to allege that Exhibit 9 is a false publication. Furthermore, the FAC excludes Exhibit 9 when listing documents that allegedly caused Plaintiff pecuniary loss. (FAC ¶77.) Defendant argues that Plaintiff has not cured any of the deficiencies outlined in the Court's April 28, 2026, order, which noted that the initial complaint did not allege that Defendant authored/recorded the alleged publication or engaged in any wrongdoing.

Defendant

also argues that the claim is time-barred because the statute of limitations for a slander of title to real property cause of action is subject to a three-year statute of limitation pursuant to Code of Civil Procedure section 338, subdivision (g). The only publication attributed to Defendant is the "Certificate of Sale at Public Auction dated October 21, 2022" (Exhibit 9).

Given that the cause of action commenced on October 21, 2022, the statute of limitations expired on October 21, 2025. The initial complaint in this action was filed on December 18, 2025, two months after the statute of limitations expired.

In

opposition, Plaintiff argues that paragraph 72 of the FAC alleges that ServiceLink participated in publishing foreclosure-sale documentation, including the Certificate of Sale at Public Auction dated October 21, 2022. Paragraph 74 specifically alleges that ServiceLink Agency Sales and Posting, LLC prepared, issued, and published that Certificate. Paragraph 75 further identifies the allegedly false representation: the Certificate represented that the Property had "Reverted to the Lender" notwithstanding the alleged defects in foreclosure authority, beneficiary identity, substitution authority, and statutory notice. Paragraph 76 alleges that its issuance and publication contributed to clouding title, effectuating the challenged transfer, and causing Plaintiff's loss of possession and property interests.

Although paragraph 77 does not list the Certificate of Sale when describing pecuniary damages, Paragraph 76 expressly alleges that issuance and publication of the foreclosure-sale documentation contributed to clouded title, the challenged transfer, and Plaintiff's loss of possession and property interests. Paragraph 77 further alleges direct pecuniary loss, loss of the Property, and expenses incurred to clear title.

Plaintiff

also opposes ServiceLink's contention that the slander-of-title claim necessarily accrued on October 21, 2022.

Plaintiff acknowledges that the FAC does not allege with specificity the time and manner by which Plaintiff discovered ServiceLink's issuance and publication of the Certificate. If the

Court determines that additional delayed-discovery allegations are required,

Plaintiff can amend to allege that ServiceLink did not mail, deliver, or

otherwise provide Plaintiff with the Certificate when it was issued in October

2022; that Plaintiff was unaware at the time of the foreclosure auction that

ServiceLink had prepared, issued, or published the Certificate; and that

Plaintiff became aware of ServiceLink's involvement only later, in connection

with the unlawful-detainer proceedings and foreclosure-related materials

associated with HSBC and its agents. The

FAC already alleges that Defendants commenced the unlawful-detainer proceedings

in 2023 based upon their claimed acquisition of the Property through

foreclosure. (FAC ¶142.)

The

Court finds that the allegations in the FAC are sufficient to plead the falsity

and harm elements for a slander of title cause of action. However, the FAC does not contain sufficient

allegations challenging the date of accrual of the cause of action as stated on

the Certificate. Given the arguments

presented in the Opposition, the Court provides Plaintiff with one additional

opportunity to cure the deficiencies outlined in the fifth cause of action.

Defendant's

Demurrer on the cause of action for slander of title is SUSTAINED with 30 days

leave to amend.

D. Demurrer

to the Eighth Cause of Action for Declaratory Relief

ServiceLink

demurs to the eighth cause of action on the grounds that Plaintiff fails to

state facts on which relief may be granted against moving party.

"Any

person interested under a written instrument ... who desires a declaration of his

or her rights or duties with respect to another, or in respect to, in, over or

upon property, ... may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action ... for a declaration of his or her rights and duties in the premises....” (Code Civ. Proc. § 1060.) To receive declaratory relief, the moving party must plead facts sufficient to find an actual controversy. (Nede Mgmt. Inc. v. Aspen American Ins. Co. (2021) 68 Cal.App.5th 1121, 1132.)

Defendant

argues that the FAC fails to state an actual controversy against Defendant as both the first cause of action for wrongful foreclosure and the fifth cause of action for slander of title contain insufficient allegations. The FAC contains the same deficiencies identified in the initial complaint and fails as a matter of law.

In

opposition, Plaintiff argues that FAC alleges that ServiceLink participated in and certified the foreclosure-sale process and issued the Certificate of Sale at Public Auction stating that the Property had “Reverted to the Lender.” (FAC ¶¶ 87–88.) The FAC further alleges an actual controversy concerning ServiceLink’s participation in facilitating and effectuating the foreclosure; ServiceLink’s issuance and publication of the Certificate of Sale; Plaintiff’s contention that the sale suffered from defective foreclosure authority, beneficiary identity, substitution authority, and statutory notice; and ServiceLink’s foreclosure-sale documentation representing that the Property had “Reverted to the Lender.” (FAC ¶¶ 94–97.) These allegations expressly identify the controversy. Furthermore, the FAC adequately alleges wrongful foreclosure and slander of title against ServiceLink.

Given

that the Court overrules Defendant’s Demurrer to the first cause of action, the Court finds an underlying controversy exists between Defendant and Plaintiff. A controversy also arises from conflicting legal assertions regarding the Certificate of Sale, the validity of the foreclosure documents, and the parties’ respective rights. Accordingly, the Demurrer to the eighth cause of action is OVERRULED.

CONCLUSION

Defendant

ServiceLink Agency Sales and Posting, LLC’s Demurrer is OVERRULED as to the first and eighth causes of action and SUSTAINED with 30 days leave to amend as

to the fifth cause of action.

[1] According to Defendant

ServiceLink, it was erroneously sued as “ServiceLink Field Services, LLC and ServiceLink Auction.